

29-2b The Federal Open Market Committee

The Federal Open Market Committee consists of the members of the Board of Governors and 5 of the 12 regional bank presidents. All 12 regional presidents attend each FOMC meeting, but only five get to vote. Voting rights rotate among the 12 regional presidents over time. The president of the New York Fed always gets a vote, however, because New York is the traditional financial center of the U.S. economy and because all Fed purchases and sales of government bonds are conducted at the New York Fed's trading desk.

Through the decisions of the FOMC, the Fed has the power to increase or decrease the number of dollars in the economy. In simple metaphorical terms, you can imagine the Fed printing dollar bills and dropping them around the country by helicopter. Similarly, you can imagine the Fed using a giant vacuum cleaner to suck dollar bills out of people's wallets. In reality, the Fed's methods for changing the money supply are more complex and subtle than this, but the helicopter-vacuum metaphor is a good first step to understanding the meaning of monetary policy.

Later in this chapter, we discuss how the Fed actually changes the money supply, but it is worth noting here that the Fed's primary tool is the *open-market operation*—the purchase and sale of U.S. government bonds. (Recall that a U.S. government bond is a certificate of indebtedness of the federal government.) If the FOMC decides to increase the money supply, the Fed creates dollars and uses them to buy government bonds from the public in the nation's bond markets. After the purchase, these dollars are in the hands of the public. Thus, an open-market purchase of bonds by the Fed increases the money supply. Conversely, if the FOMC decides to decrease the money supply, the Fed sells government bonds from its portfolio to the public in the nation's bond markets. After the sale, the dollars the Fed receives for the bonds are out of the hands of the public. Thus, an open-market sale of bonds by the Fed decreases the money supply.

Central banks are important institutions because changes in the money supply can profoundly affect the economy. One of the *Ten Principles of Economics* in [Chapter 1](#) is that prices rise when the government prints too much money. Another of the *Ten Principles of Economics* is that society faces a short-run trade-off between inflation and unemployment. The power of the Fed rests on these principles. For reasons we discuss more fully in the coming chapters, the Fed's policy decisions are key determinants of inflation in the long run and employment and production in the short run. Indeed, the Fed chair has been called the second most powerful person in the United States.

3. Which of the following is NOT true about the Federal Reserve?

- a. It was established by the U.S. Constitution.
- b. It regulates the banking system.
- c. It lends to banks.
- d. It conducts open-market operations.

4. If the Fed wants to increase the money supply, it can

- a. raise income tax rates.
- b. reduce income tax rates.
- c. buy bonds in open-market operations.
- d. sell bonds in open-market operations.